Fair Lending Analysis

This section contains an analysis of mortgage loan and community reinvestment data to detect fair lending concerns in Boulder County Broomfield, the City of Boulder, and Longmont. The section begins with a discussion of community investment ratings for banks headquartered in the county. It continues with an analysis of mortgage loan approvals and denials in 2023 (the latest data available at the time this report was prepared).

Community Reinvestment Act (CRA). The CRA requires that financial institutions progressively seek to enhance community development within the area they serve. On a regular basis, financial institutions submit information about mortgage loan applications as well as materials documenting their community development activity. The records are reviewed to determine if the institution satisfied CRA requirements. The assessment includes a review of records related to the following:

- Commitment to evaluating and servicing community credit needs;
- Offering and marketing various credit programs;
- Record of opening and closing offices;
- Discrimination and other illegal credit practices; and
- Community development initiatives.

CRA ratings for institutions range from substantial non-compliance in meeting credit needs to an outstanding record of meeting community needs. A search of CRA ratings on the Federal Financial Institutions Examination Council (FFIEC) website found one bank in Boulder and Broomfield Counties that had received at least one CRA exam in the past five years. AMG National Trust Bank received a “Satisfactory” rating in 2022.

It should be noted that households in the Consortium area may obtain loans from banks that are headquartered throughout the United States. The following section contains an analysis of loan records of banks to which residents in Consortium jurisdictions applied for mortgage loans during 2023.

Mortgage lending data. Home Mortgage Disclosure Act (HMDA) data are widely used to detect evidence of discrimination in mortgage lending. In fact, concern about discriminatory lending practices in the 1970s led to the requirement for financial institutions to collect and report HMDA data. The variables contained in the HMDA dataset have expanded over time, allowing for more comprehensive analyses and better results. However, despite expansions in the data reported, current HMDA analyses remain limited because of the information that is *not* reported. Because HMDA datasets do not contain all of the factors that are evaluated by lending institutions when they decide to make a loan to a borrower, direct evidence of lending discrimination is difficult to detect through HMDA analysis alone.

Currently, HMDA data can be used to determine disparities in loan originations and interest rates among borrowers of different races, ethnicities, genders, and location of the property they hope to own. The data can also be used to explain many of the reasons for any lending barriers and disparities (e.g., poor credit history).

HMDA data report several types of loans. These include loans used to purchase homes and to make home improvements, and refinance existing mortgage loans, as defined below.

- **Home purchase loan.** A home purchase loan is any loan secured by and made for the purpose of purchasing a housing unit.
- **Home improvement loan.** A home improvement loan is used, at least in part, for repairing, rehabilitating, remodeling, or improving a housing unit or the real property on which the unit is located.
- **Refinancing.** Refinancing is any dwelling-secured loan that replaces and satisfies another dwelling-secured loan to the same borrower. The purpose for which a loan is refinanced is not relevant for HMDA purposes.

The HMDA data are separated into two primary loan categories: Conventional loans and government-guaranteed loans. Government-guaranteed loans are insured by the Federal Housing Administration (FHA) and Veterans Administration (VA).

Loan applications and purpose. During 2023, there were 4,628 mortgage loan applications completed for primary residence, owner-occupied homes in Boulder County and 1,288 applications in Broomfield. Twenty-seven percent of applicants in Boulder County were from the City of Boulder and 34% were in Longmont.

The vast majority (90% in Boulder County and 86% in Broomfield) of loan applications were for conventional loans. Longmont had the highest proportion of FHA loan applications (12%) and VA loan applications (6%).

Figure II-25. Mortgage Loan Applications by Type, Boulder Consortium Jurisdictions, 2023

Note:

VA-guaranteed loans are available to veterans through the Veterans Administration.

Source:

HMDA 2023 and Root Policy Research.

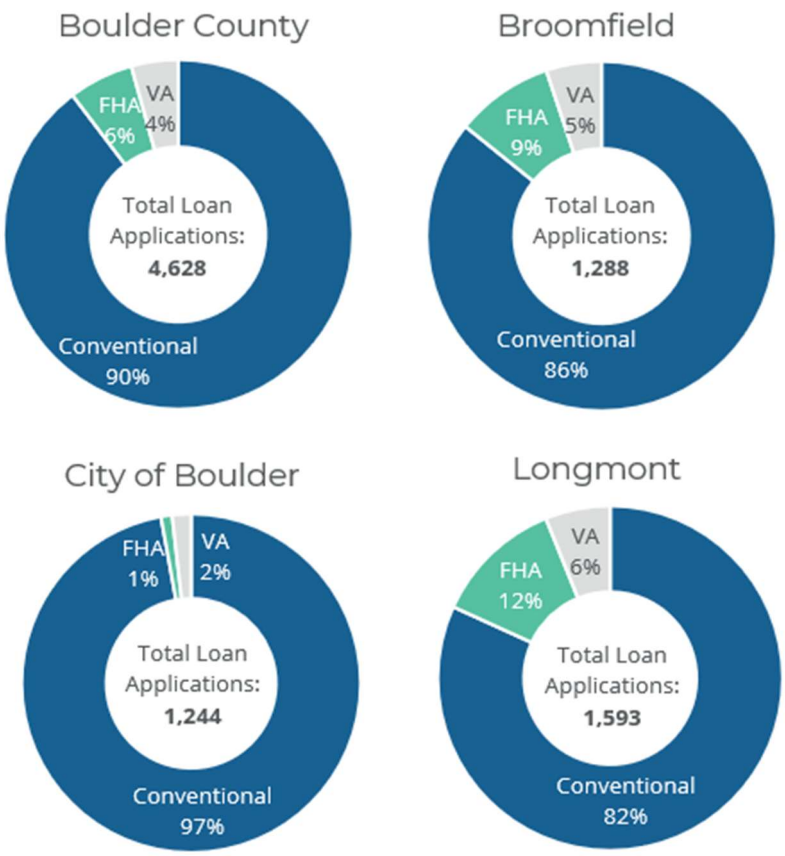
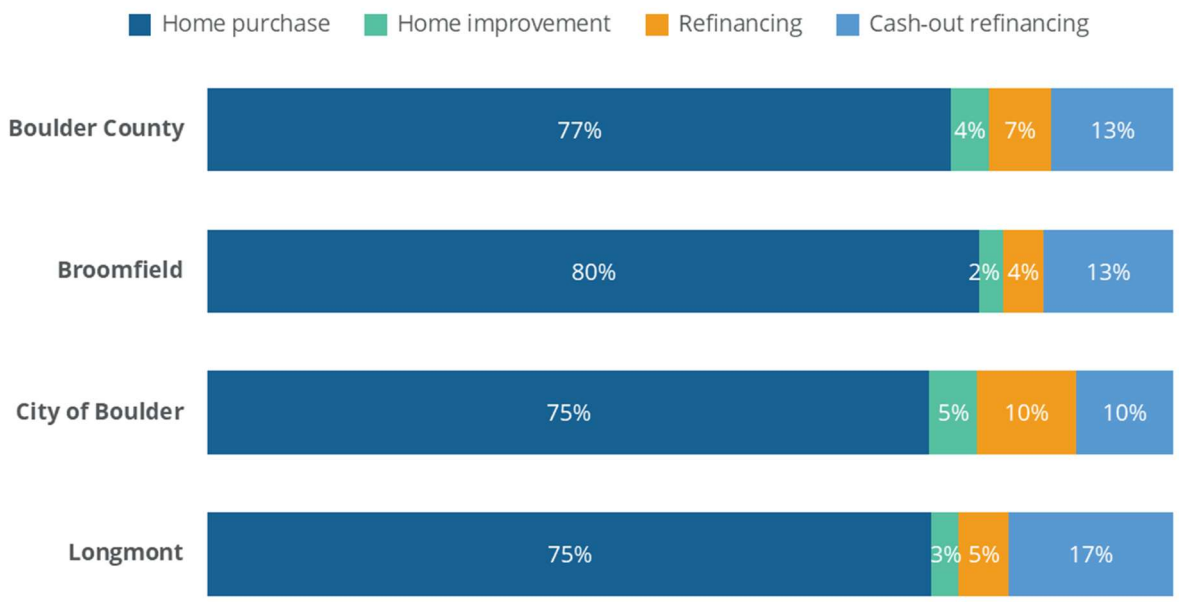


Figure II-26 shows the distribution of mortgage loan applications by purpose. In Boulder County, approximately 77% were for home purchases, 13% were for cashout refinances, 7% were for refinances, and 4% were for home improvements. The distribution was similar across other jurisdictions. Longmont had the highest proportion of cash-out refinancing loan applications (17%) while Broomfield had the highest proportion of home purchase loan applications (80%).

Figure II-26.

Purpose of Loan Applications, Boulder Consortium Jurisdictions, 2023



Source: HMDA 2023 and Root Policy Research.

Loan outcomes. Figure II-27 shows the distribution of mortgage loan application outcomes alongside the mortgage application denial rate.[6] Two-thirds (66%) of mortgage loan applications in Boulder County and 70% of mortgage loan applications in Broomfield were approved and accepted by the applicant.

Ten percent of mortgage loan applications were denied in Boulder County and the City of Boulder. Longmont had a slightly higher mortgage loan denial rate than the County at 11%. Broomfield had the lowest denial rate in all of the Consortium jurisdictions at 8%.

[6] The mortgage application denial rate is defined as the number of denied loan applications divided by the total number of applications excluding withdrawn applications and application files closed for incompleteness. This measure of denial provides a more accurate representation of applications with an opportunity for origination and is consistent with the methodology used by the Federal Reserve in analyzing HMDA denial data.

Figure II-27.
Action Taken on Mortgage Loan Applications and Denial Rates, Boulder Consortium Jurisdictions, 2023

Action Taken on Loan Application	Boulder County	Broomfield	City of Boulder	Longmont
Loan originated	66%	70%	66%	67%
Approved but not accepted by applicant	3%	3%	2%	3%
Application denied	7%	7%	7%	9%
Application withdrawn	20%	18%	21%	18%
File closed for incompleteness	4%	2%	3%	4%
Denial Rate of All Loans	**10%**	**8%**	**10%**	**11%**

Note: Denial rate defined as the number of denied loan applications divided by the total number of applications, excluding withdrawn applications and application files closed for incompleteness.

Source: HMDA 2023 and Root Policy Research.

Denial rates by race/ethnicity. Figure II-28 mortgage loan application denial rates by race and ethnicity. Racial and ethnic minority groups—particularly Black, Hispanic, and Asian applicants—have higher denial rates than non-Hispanic white applicants.

- In Boulder County, Hispanic applicants had the highest denial rate (16%), followed by American Indian/Alaska Native applicants (13%). Asian, Black, and non-Hispanic White applicants had the lowest denial rates;
- In Broomfield, Hispanic applicants also had the highest denial rate (13%) while non-Hispanic White and Asian applicants had the lowest (8%);
- In the City of Boulder, applicants who identified as another race had the highest denial rate (12%) while Asian applicants had the lowest (3%); and
- Longmont had the highest denial rate for Hispanic applicants (20%) and Black applicants (14%) of all Consortium jurisdictions.

Figure II-28. Mortgage Application Denial Rates by Race and Ethnicity, Boulder Consortium Jurisdictions, 2023

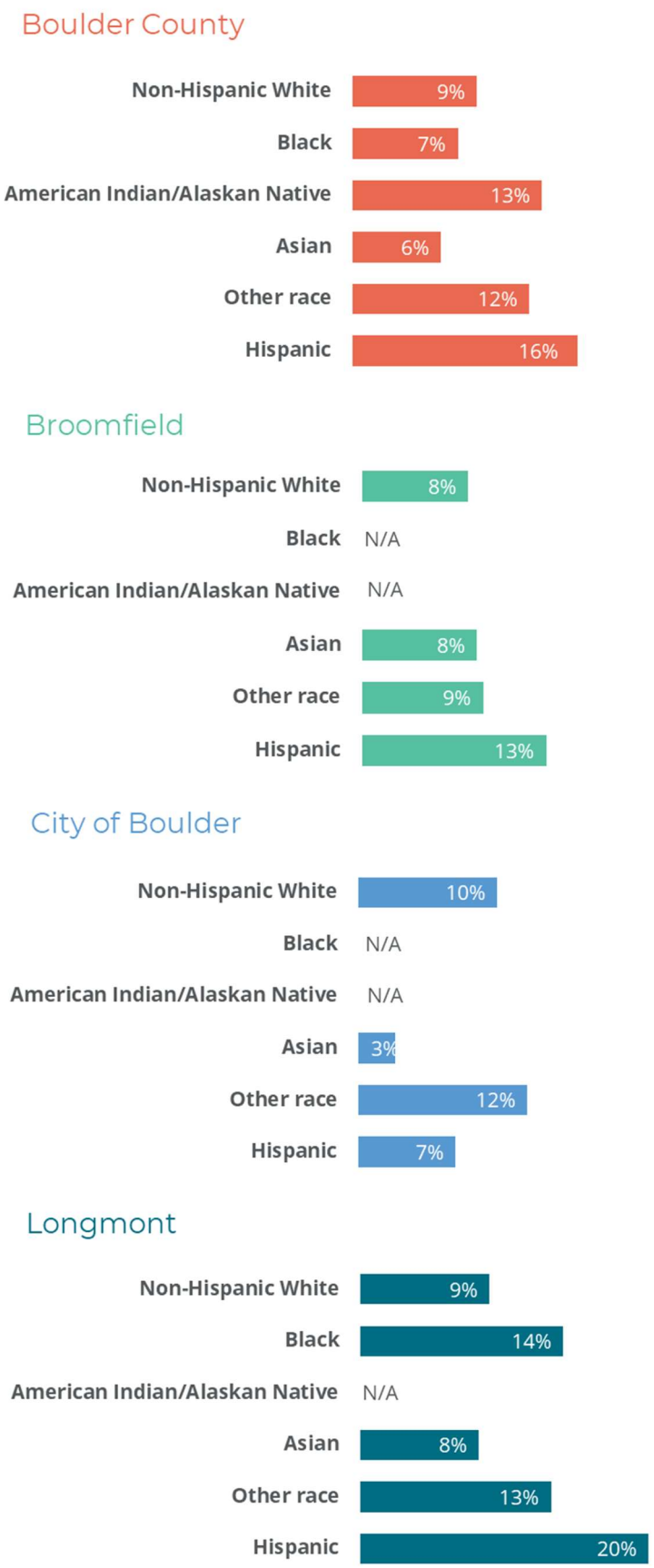
Note:

Sample sizes are insufficient (n ≤ 20) for American Indian/Alaska Native applicants in Broomfield, City of Boulder, and Longmont and for Black applicants in Broomfield and the City of Boulder.

Sample sizes are sufficient (n ≥ 20) though small (n ≤ 40) for American Indian/Alaska Native applicants in Boulder County and for Black applicants in Boulder County and Longmont.

Source:

HMDA 2023 and Root Policy Research.



Denial rates may be higher for certain racial and ethnic groups due to a number of factors. First, some racial and ethnic groups are very small (see note on Figure II-28), so the pool of potential borrowers is limited and may skew towards lower income households, since minorities typically have lower incomes.

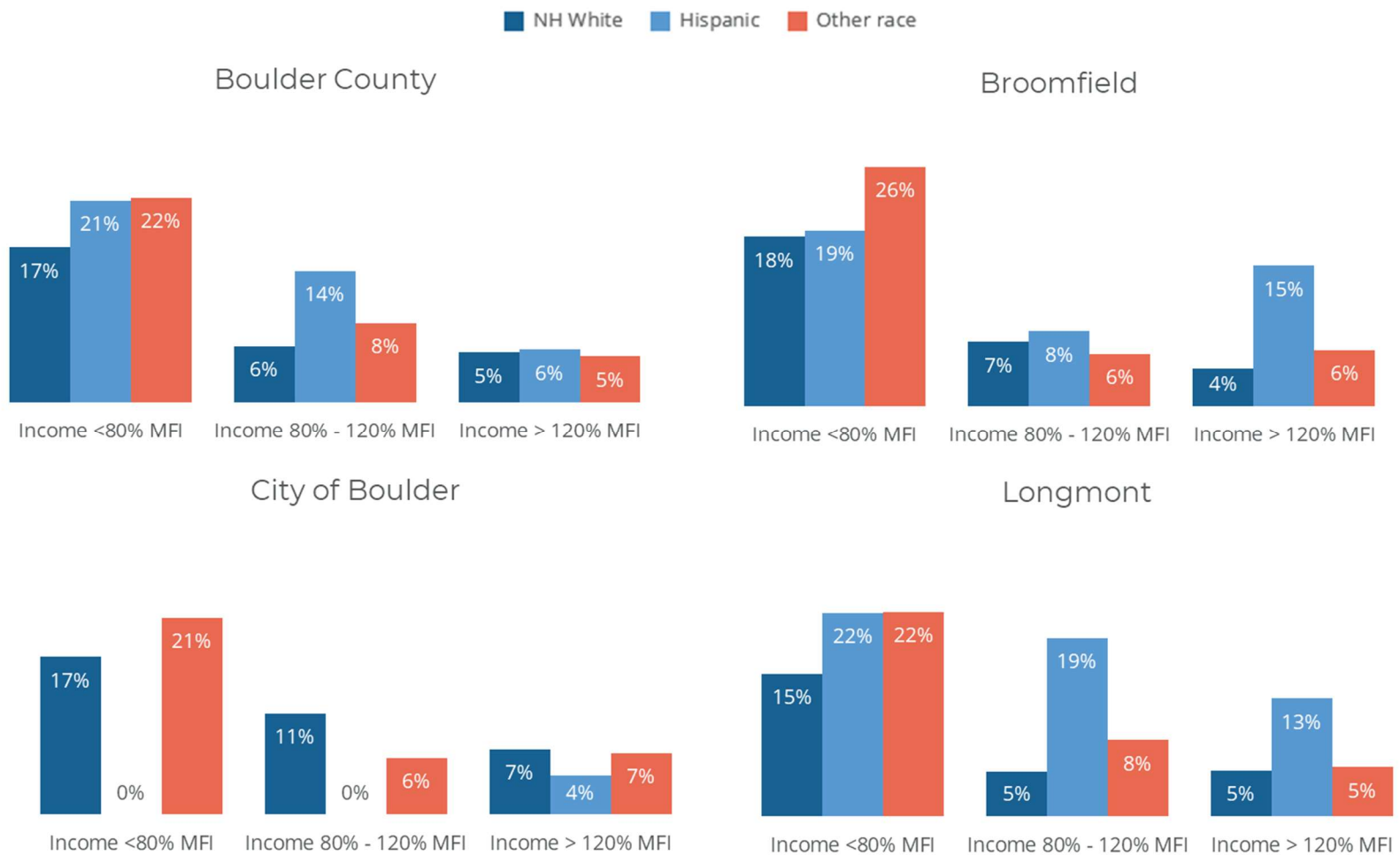
Second, loan denial rates can also vary by race and ethnicity based on the type of loans applied for by applicants. Denial rates are typically highest for home improvement loans and refinances and lower for home purchase loans. This is often because the additional debt will raise the loan to value ratios above the levels allowed by a financial institution. In Boulder County, cash-out refinancing loan applications had the highest denial rate at 32%, followed by home improvement loan applications at 31%. Home purchase loans had the lowest denial rate at 5% in Boulder County. In Broomfield, home improvement loan applications had the highest denial rate (40%), followed by cash-out refinancing loan applications (25%). Only 4% of home purchase applications were denied in Broomfield.[7]

Figure II-29 examines differences in loan denial rates by household income range as a percent of the HUD-defined Median Family Income (MFI).

In Boulder and Broomfield Counties, Hispanic applicants have higher denial rates than non-Hispanic White applicants at every income level. In Boulder County, Hispanic applicants with income 80% to 120% MFI have denial rates more than double non-Hispanic White applicants within the same income range. In Broomfield, Hispanic applicants with income over 120% MFI have denial rates more triple that of non-Hispanic White applicants in the same income range. Because income is the best available proxy for applicant qualifications, these data suggest that disparities in denial rates are due to factors other than applicant qualifications, including discrimination. Racial and ethnic disparities in denial rates for high income households are also present in Longmont, but are not as stark in the City of Boulder. Note that the sample size of Hispanic applicants was small by income group in the City of Boulder (n = 13 with income less than 80% MFI and n = 8 with income between 81% and 120% MFI).

[7] Source: HMDA 2023 and Root Policy Research.

Figure II-29.
Denial Rate by Race, Ethnicity, and MFI, Boulder Consortium Jurisdictions, 2023



Source: HMDA 2023 and Root Policy Research.

Figure II-30 examines denial rates by race and ethnicity for home purchase loans—other types of applications (refinances and home improvement loans) are not examined here due to small sample sizes. With the exception of the City of Boulder, non-Hispanic White applicants have the lowest denial rate for home purchase loan applications in the Consortium jurisdictions while Hispanic applicants have the highest.

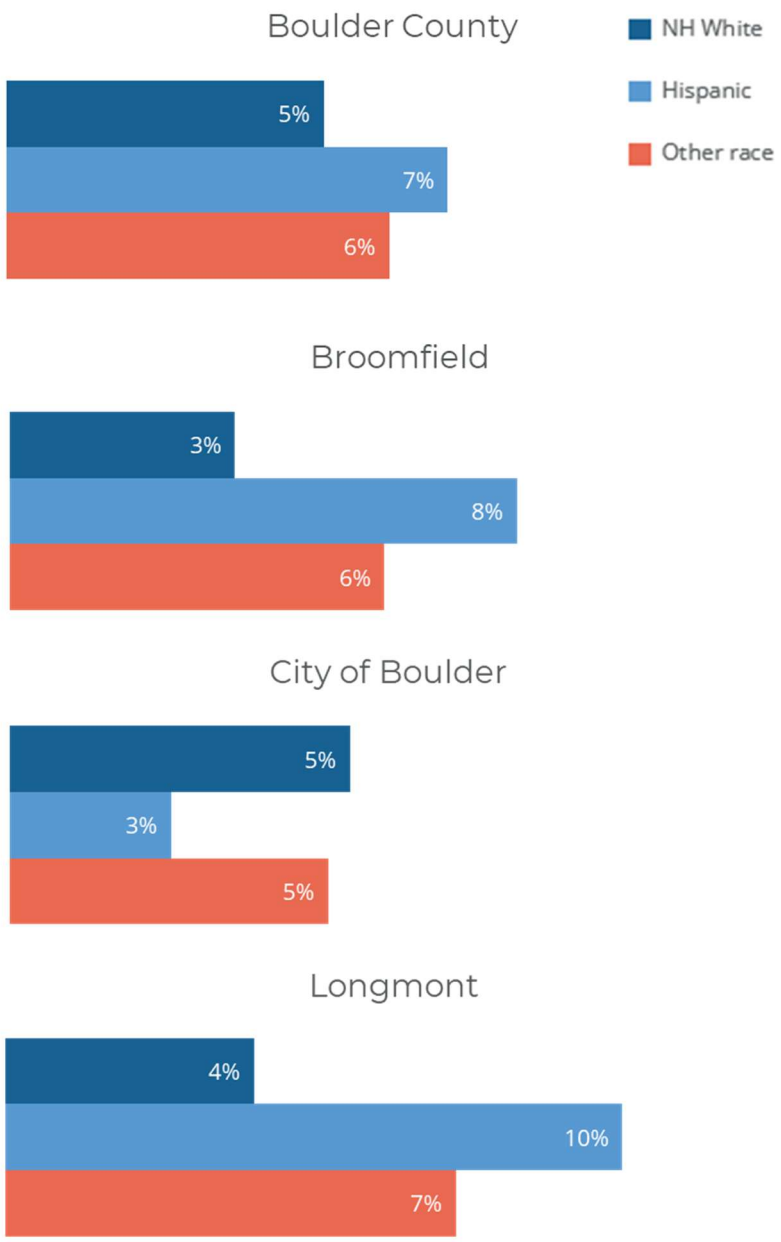
Figure II-30. Denial Rate of Home Purchase Loan Applications by Race and Ethnicity

Note:

Home improvement, refinancing, and cash-out refinancing loans excluded due to small n for Hispanic applicants (less than 20).

Source:

HMDA 2023 and Root Policy Research.



Reasons for denial. HMDA data also contain summary information on the reasons for denial by applicant characteristics, which can help explain some of the variation in approval rates among applicants. As demonstrated in Figure II-31, high debt-to-income ratio is the

most common denial reason across races in Boulder County while Hispanic applicants who were denied had the highest proportion with credit history as the reason for denial (55%).

Figure II-31.
Reasons for Denial by Race and Ethnicity, Boulder County, 2023

	Non-Hispanic White	Asian	Other Race	Hispanic
Debt-to-income ratio	51%	40%	47%	42%
Employment history	3%	7%	4%	0%
Credit history	13%	7%	13%	55%
Collateral	14%	7%	13%	0%
Insufficient cash	7%	7%	6%	0%
Unverifiable information	7%	13%	7%	0%
Credit application incomplete	12%	20%	15%	8%
Other	12%	20%	9%	21%

Note: Percentages are calculated as the total number of denials given by applicants denied. One application may receive multiple denial reasons, therefore categories may be over 100%. Note that there were only two Black applicants and American Indian/ Alaska Native applicants with reasons given for denial in Boulder County and have thus been omitted from the table

Source: HMDA 2023 and Root Policy Research.

In Broomfield, debt-to-income ratio was also the most common reason for denial across race and ethnicities. Hispanic applicants who were denied in Broomfield also had the highest proportion with credit history as a reason for denial.

Figure II-32.
Reasons for Denial by Race and Ethnicity, Broomfield, 2023

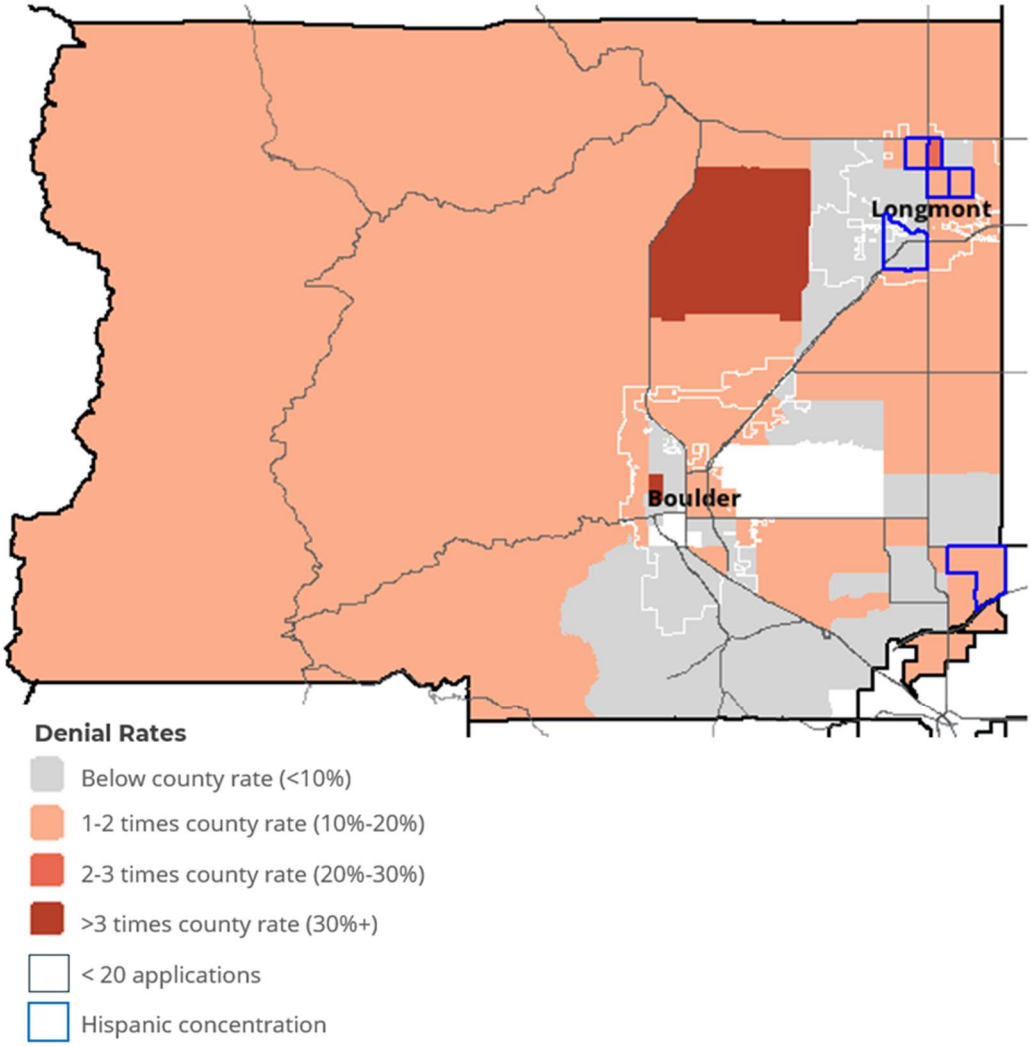
	Non-Hispanic White	Asian	Other Race	Hispanic
Debt-to-income ratio	50%	60%	60%	38%
Employment history	2%	0%	0%	0%
Credit history	24%	20%	0%	25%
Collateral	19%	10%	10%	25%
Insufficient cash	2%	0%	0%	13%
Unverifiable information	6%	0%	0%	13%
Credit application incomplete	17%	10%	20%	0%
Other	11%	0%	10%	0%

Note: Percentages are calculated as the total number of denials given by applicants denied. One application may receive multiple denial reasons, therefore categories may be over 100%. Note that there was only one American Indian/ Alaska Native applicant and three Black applicants with denial reasons and thus have been omitted from the table,

Source: HMDA 2023 and Root Policy Research.

Denial rates by neighborhood. Figure II-33 overlays areas in Boulder County with denial rates greater than the county's denial rate (10%) with areas where the Hispanic population qualifies as a concentration— more than 20 percentage points higher than the county's overall Hispanic population. While one tract in Longmont with a Hispanic concentration has higher denial rates relative to surrounding tracts, areas with high denial rates are not confined to areas with Hispanic concentrations.

Figure II-33.
Mortgage Loan Denial Rates and Concentrations of Hispanic Residents, Boulder County, 2023



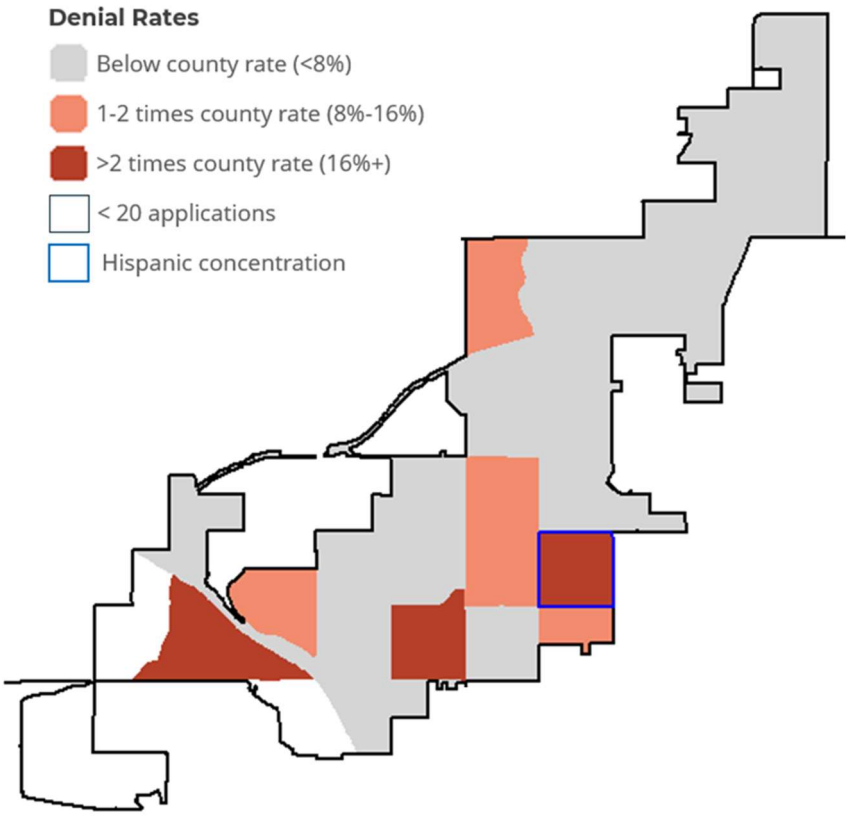
Source: HMDA 2023, 2023 5-year ACS, and Root Policy Research.

Figure II-34 shows denial rates in Broomfield compared to the county rate of 8% overlaid with Hispanic concentrations. The tract with the only Hispanic concentration in Broomfield has a denial rate more than two times the county rate.

Figure II-34. Mortgage Loan Denial Rates and Concentrations of Hispanic Residents, Broomfield, 2023

Source:

HMDA 2023, 2023 5-year ACS, and Root Policy Research.



High priced loans. HMDA data allow for examination of disparities in the prevalence of high priced loans[8] by geographic area and applicant race and ethnicity. Note that high priced loans are not always predatory or indicative of fair lending issues, and that the numerous factors that can make a loan "predatory" are not adequately represented in available data. Therefore, actual predatory practices cannot be identified through HMDA data analysis alone. However, the data analysis can be used to identify where additional scrutiny is warranted and public education and outreach efforts should be targeted.

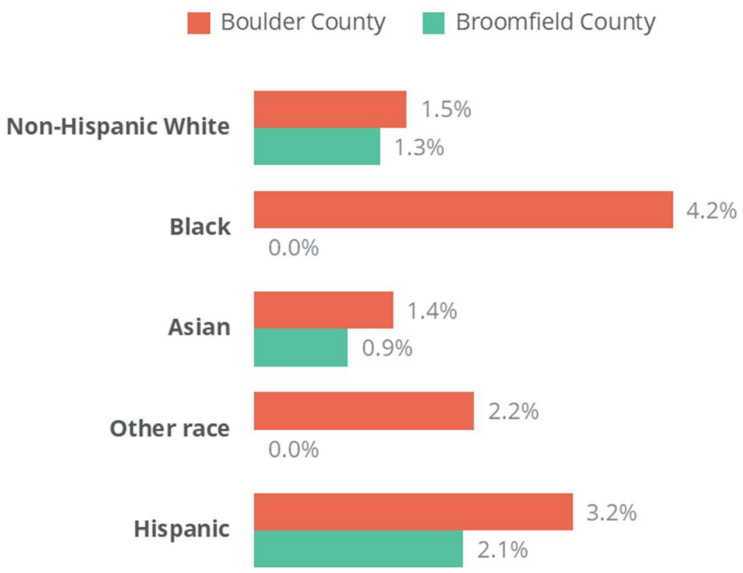
Overall, 1.7% of loans originated for properties in Boulder County and 1.1% of loans originated for properties in Broomfield were high priced. Loans originated for properties in Longmont were more likely to be high priced at 2.5% and the rate of high priced loans originated for properties in the City of Boulder was slightly higher than the county rate at 1.8%. Figure II-35 presents the share of originated loans that are high priced by applicant race and ethnicity in Boulder County and Broomfield. This analysis is available only at the county level due to small sample sizes in the City of Boulder and Longmont. It shows that:

[8] High priced loans as those with an annual percentage rate (APR) of more than 1.5 percentage points above comparable treasuries.

- Hispanic applicants were more than twice as likely to receive a high priced loan than non-Hispanic White applicants in Boulder County: 3.2% of loans originated for Hispanic applicants and 1.5% of loans originated for non-Hispanic White applicants were high priced.

- Black applicants in Boulder County had the highest rate of high priced loans at 4.2%. Note that this group has a sample size of 24—significantly smaller than other racial and ethnic groups.

Figure II-35. Percent of Originated Loans That Are High Priced, Boulder County and Broomfield, 2023



Note:

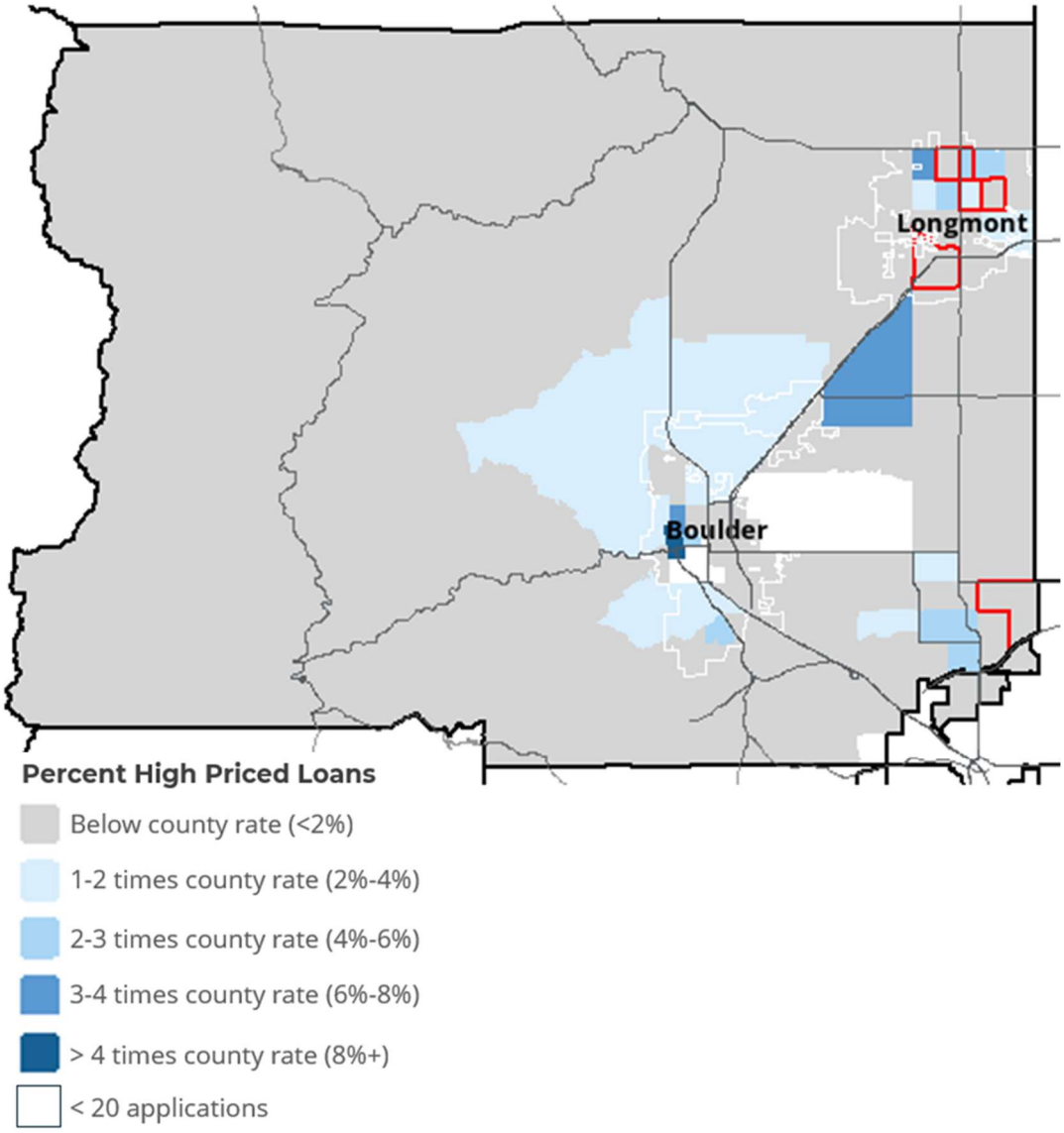
American Indian or Alaska Native omitted. This group had no high priced loans and a sample size of 3 in Broomfield and 13 in Boulder County. Sample sizes are small for Black applicants in Boulder County (n = 24) and Broomfield (n = 9)

Source:

HMDA 2023 and Root Policy Research.

Figure II-36 overlays rates of high priced loans in Boulder County with areas identified with a Hispanic concentration. Tracts with four or more times the county's rate of high priced loans are located in the City of Boulder and do not overlap with high concentrations of Hispanic residents.

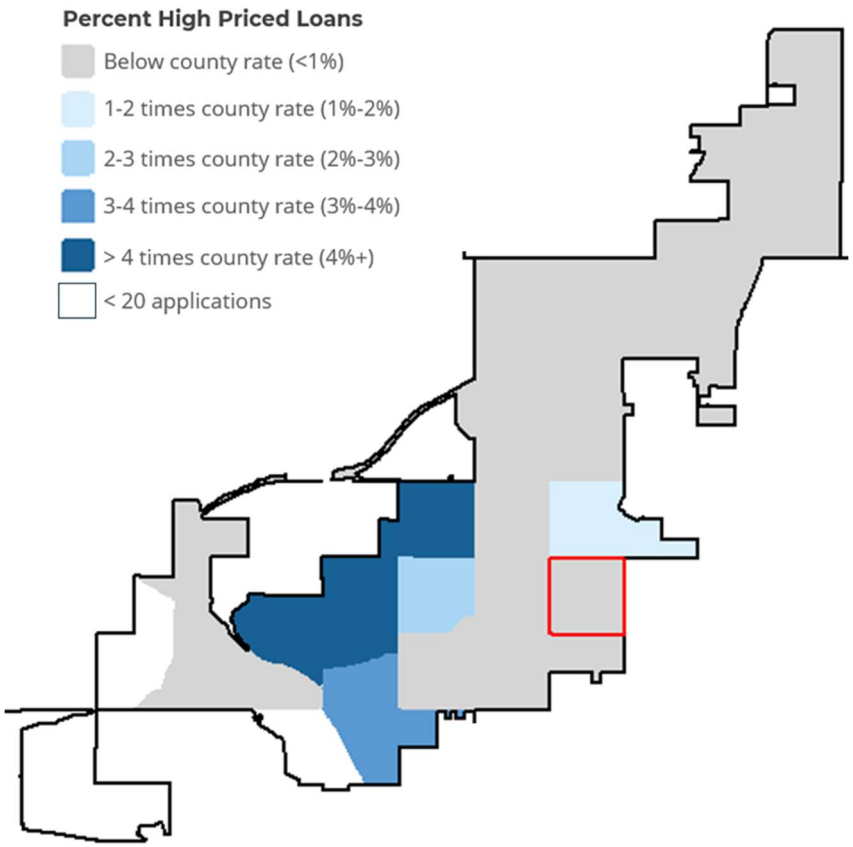
Figure II-36.
Percent of Originated Loans That Are High Priced and Concentrations of Hispanic Residents, Boulder County, 2023



Source: HMDA 2023, 2023 5-year ACS, and Root Policy Research.

Figure II-37 overlays rates of high priced loans in Broomfield with areas identified with a Hispanic concentration. Tracts with four or more times the county's rate of high priced loans are located in southwest Broomfield and do not overlap with the only track identified as a Hispanic concentration.

Figure II-37. Percent of Originated Loans That Are High Priced and Concentrations of Hispanic Residents, Broomfield, 2023

Source:

HMDA 2023, 2023 5-year ACS, and Root Policy Research.